Introduction to Business Management

Select the most suitable answer to fill in the blanks.

1. Any work undertaken only for …… is not regarded as labour.
   a) Income
   b) Pleasure
   c) Reward
   d) None
2. All the free gifts of nature are termed as ……
   a) Labor
   b) Capital
   c) Land
   d) None
3. The National Incomes of advanced countries are at ……..
   a) Low level
   b) Medium level
   c) High level
   d) None of the above
4. Man can change only the …… of land.
   a) Nature
   b) Size
   c) Uses
   d) None
5. An organizer will always make ……
   a) Traditions
   b) Risks
   c) Innovations
   d) None
6. There are …….. factors of production
   a) Two
   b) Three

c) Four

d) Five

7. Labour cannot be separated from ……..

a) Profit

b) Labourer

c) Capital

d) None

8. The reward paid to capital is ……

a) Rent

b) Interest

c) Wages

d) None

9. The reward paid to labour as a factor of production is …….

a) Profit

b) Wages

c) Rent

d) None

10. Investment in education is called …….. capital

a) Physical

b) Financial

c) Human

d) None

11. Efficient labour …… production

a) Affects

b) Increases

c) Decreases

d) Has no impact on

12. The economic problem arises because,

a) Wants are unlimited

b) Resources are limited

c) Resources are capable of alternative uses

d) All of the above

13. Economic problem arises in,
    a) planned economies
    b) free market economies
    c) mixed economies
    d) All of the above
14. The resources are,
    a) limited
    b) unlimited
    c) limited but capable of alternative uses
    d) none of the above
15. The term production refers to,
    a) producing things which are capable of satisfying human needs and wants
    b) creation of addition of utilities
    c) transformation of inputs into outputs
    d) All of the above
16. Economic growth can be achieved through,
    a) advanced economies
    b) expansion of resources
    c) both a) & b)
    d) neither a) nor b)
17. What is Sole Proprietorship?
    a) Business owned by president
    b) Business owned by several companies
    c) Business owned by a company
    d) Business owned by one person
18. A sole proprietor has a limit in which of the following ability
    a) Owner
    b) Worker
    c) Managerial
    d) None of these

19. Sole Proprietorship is most suitable for,
    a) large scale organizations
    b) medium scale organizations
    c) small scale organizations
    d) none of the above
20. The life of sole proprietorship business is
    a) stable
    b) unstable
    c) very short life
    d) long life
21. To start a partnership business, what should be the minimum number of partners?
    a) 2
    b) 4
    c) 10
    d) 20
22. What type of agreement is used to form a partnership business?
    a) Written agreement
    b) Oral agreement
    c) Written or oral agreement
    d) None of them
23. In absence of a partnership agreement, what will be the percentage of profit sharing ratio between the partners?
    a) Unequal
    b) Equal
    c) It will depend on the experience of a partner
    d) It will depend on a partner's capital
24. Which is not a feature of a partnership business?
    a) Ease of information
    b) Limited liability
    c) Limited life
    d) Mutual agency

25. Which among the following is a feature of a partnership firm?

a) Two or more persons are carrying common business under an agreement.

b) They are sharing profits and losses in the fixed ratio.

c) Business is carried by all or any of them acting to all as an agent.

d) All of the above